

Q1 2025

Custom Managed Portfolios

Jarislowsky Fraser North American Balanced

Quick facts

Asset class:
Balanced

Management style:
GARP¹

Number of holdings:
81

Sub-advisor:
Jarislowsky Fraser

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 01, 1997



What does the strategy invest in?

Jarislowsky has consistently applied a fundamental value style of investing, concentrating on proven, well-managed, large capitalization companies which are financially sound. This portfolio will consist of 20-35 Canadian equities, 20-35 U.S. equities and 10-15 fixed income securities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	-0.7%	-0.7%	11.1%	8.9%	10.4%	7.3%	7.7%
Benchmark ⁵	0.3%	0.3%	11.6%	6.8%	9.2%	6.6%	7.0%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	18.3%	17.3%	-13.0%	16.3%	7.5%	12.6%	1.7%
Benchmark ⁵	16.0%	11.5%	-9.9%	11.3%	10.5%	15.2%	-0.6%

Standard deviation	4.6%	Sortino ratio	1.83	Downside capture	78.0%
Sharpe ratio	1.32	Beta (Equity)	0.94	Upside capture	98.1%

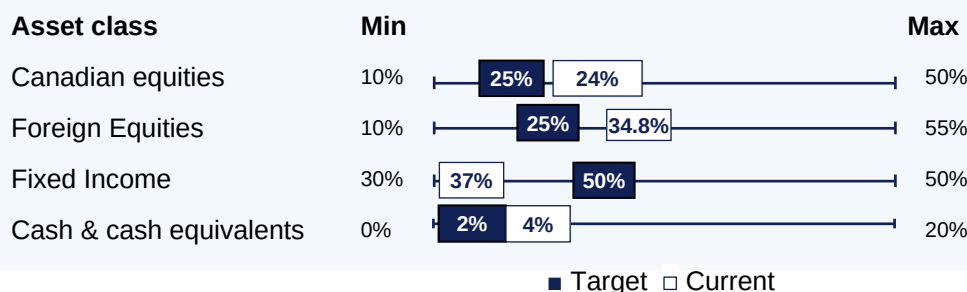
Largest holdings

1. CDA GOVT 3.5% 01SEP2029	9.3%	6. MICROSOFT CORP	2.9%
2. CDA HSG TR 1 2.35% 15JUN27	4.7%	7. HYDRO ONE INC 2.23% 17SEP2031	2.7%
3. PROV OF ONT 2.9% 02JUN49	4.6%	8. RBC SR UNSEC 5.228% 24JUN2030	2.4%
4. PROV OF ONT 2.90% 2JUN28	4.0%	9. AMAZON.COM INC	2.2%
5. WALT DIS 3.057% 30MAR2027	3.3%	10. BC PROV 4.70% 18JUN37	1.9%

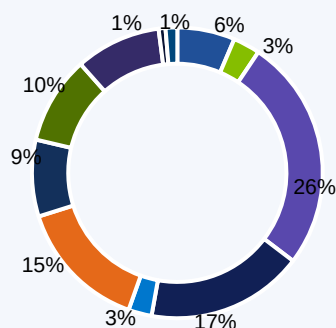
Portfolio attributes

Dividend yield	Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average market cap	Portfolio turnover
1.4%	2.2%	3.1%	A+	5.33	379.50B	53.4%

Target allocations

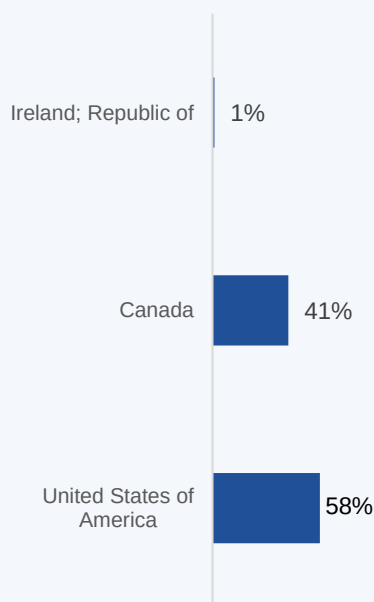


Sector breakdown



- Communication Services
- Materials
- Financials
- Information Technology
- Energy
- Industrials
- Consumer Staples
- Consumer Discretionary
- Health Care
- Utilities
- Real Estate

Geographic allocation



Quarterly commentary

Economic Review: The tailwinds from the Trump administration's perceived growth-leaning agenda that were experienced during the latter half of 2024 have subsequently turned into material headwinds for certain risk markets in the first quarter of 2025.

Canada's nominal and real yields declined with expectations for continued policy easing and elevated risks to the demand side of the economy as the trade war permeated through Canada's fixed income markets.

Global equity markets were mixed in the first quarter with the U.S. lagging, while international markets were strong led by a broad-based rally in European equities.

Canadian Equity: Despite our focus on investing in a diverse set of high-quality businesses—typically regional or global leaders with durable competitive advantages, strong balance sheets and superior growth through the cycle—the risk-off environment favoured other sectors, where these attributes are lacking. Notably, Materials (+20.3%), led by the Gold subsector (+34%), substantially outperformed as the flight to safety pushed the commodity up 40% over the past year to all-time highs. Similarly, Utilities (+4.9%), Communication Services (+2.2%), and Real Estate Investment Trusts (+2%) performed better than the index, despite their low growth and high leverage. These four areas accounted for more than 40% of the portfolio's underperformance in Q1. Materials was the largest detractor; the portfolio's position in high-performing Franco-Nevada (+34%) could not fully offset the rally in producers, which have the most exposure to commodity prices.

From a stock-specific standpoint, the top contributors to our relative first quarter performance were Franco Nevada, Intact Financial, and METRO. Franco Nevada, a prominent streaming and royalty company, demonstrated strong performance driven by rising gold prices, which positively influenced sector sentiment and the company's run-rate cash flow. Intact Financial outperformed this quarter, driven by robust underwriting performance and growth in investment and distribution income. METRO continues to report industry-leading sales growth, driven by its balanced approach between full-service and discount offerings in the grocery business, and a value-oriented pharmacy brand.

The primary detractors in the quarter were AtkinsRéalis, OpenText, and Brookfield Corp..

U.S. Equity: During the first quarter, the U.S. equity portfolio outperformed its benchmark, the S&P 500. Some of the speculative activity that surged in the fourth quarter following U.S. President Donald Trump's election and the Republican takeover of Congress began to unwind. This was most evident in Tesla, which dropped nearly 40%. More broadly, technology-related companies faced pressure throughout the quarter as rising uncertainty over trade policy and the economy led to a "risk-off" environment. Leading sectors included more defensive areas like Health Care (+6.6%) and Consumer Staples (+5.3%). Key individual contributors to outperformance included Mondelez (+14%), which benefitted from expectations of a larger cocoa bean harvest, leading to lower production costs for its chocolate bars. Abbott Labs (+18%) also performed well as investors began to recognize its strong growth potential alongside its relatively low valuation compared to peers. Boston Scientific (+13%), another peer with a

higher valuation, was also a significant contributor, as its new tool for treating atrial fibrillation continued to outpace competitors.

Headwinds to performance during the quarter were largely technology-related companies, including Amazon, Oracle, and Alphabet.

Fixed Income: Corporate spreads were wider quarter over quarter, as risk sentiment negatively impacted corporate bond valuations and market participants began to price a weaker domestic and global growth outlook.

Investment Outlook: Entering 2025, we expected economic, political and policy divergence between major economies to persist and likely intensify.

Credit spreads, which widened in the first quarter, should continue their path towards a normalized and frankly more attractive level.

The current market volatility is providing ample opportunities to deploy capital in businesses that we believe will have enduring competitive advantages beyond the current uncertainty.

Disclosure: The Bank of Nova Scotia (BNS) is the parent company of Jarislowsky, Fraser Limited. BNS securities held in the portfolio are related securities.

Investment manager overview

JARISLOWSKY FRASER
GLOBAL INVESTMENT MANAGEMENT

Jarislowsky Fraser is one of Canada's leading independent investment management firms. Founded in 1955 as a research boutique, Jarislowsky Fraser today manages the portfolios of pension funds, foundations and endowments, corporations and individuals in Canada, the United States and internationally. It has offices in Montreal, Toronto, Calgary, Vancouver and New York Ci. Its investment philosophy and low-risk approach are built on a foundation of time-tested conservative principles and more than 60 years of fundamental research. Its history and culture are rooted in investment stewardship, which is expressed through an adherence to high-quality investing, a long-term investment horizon and the advancement of good governance and sustainable investing.

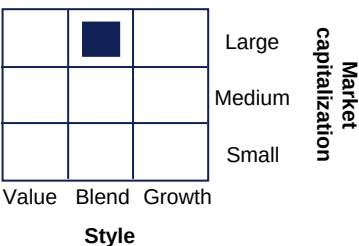
Investment philosophy

The firm's primary goal is to grow capital in a low-risk manner. Since its inception, Jarislowsky Fraser has adhered to the belief that superior long-term performance is achieved by investing in high-quality businesses with attractive earnings prospects and reasonable valuations. Its decisions are based on fundamental research, with an investment horizon of over five years. Equally, it believes that strong, ethical management teams and good governance practices invariably deliver excellent long-term performance. This investment approach has produced consistent returns through changing economic environments and has been particularly effective in minimizing the volatility prevalent in today's global markets.

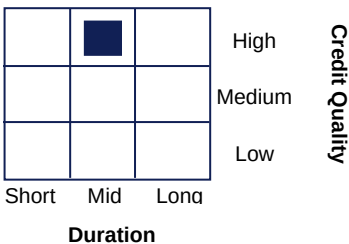
Investment process and risk controls

. The foundation of Jarislowsky Fraser's investment approach is an emphasis on in-house fundamental research, which provides the framework for risk management of equity and fixed income investments. Securities of companies that the firm believes to be speculative are avoided. Strict internal policy guidelines limit the maximum exposure allowed to any company or industry. Its bottom-up investment process focuses on firms that are regional or global leaders in their industries, and each investment candidate must meet four criteria to be considered for purchase: Competitive advantage; strong management; sustainable growth in earnings and cash flow and sound balance sheet; and reasonable valuations. The firm has an Investment Strategy Committee (ISC) that acts as a central risk and investment oversight body. Its main objective is to ensure continuity in the adherence to the firm's fundamental, low-risk investment philosophy and disciplined investment process. The ISC is the final level of oversight to ensure that proper due diligence was performed and that the investment thesis is sound prior to the addition or removal of a company from the approved list.

Equity style²



Fixed Income style³



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. The Custom Managed Portfolios is distributed by Aviso Wealth Inc. Mutual funds and other securities are offered through Aviso Wealth Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Please read the prospectus before investing. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently and past performance may not be repeated.

⁵ The benchmark is 50% FTSE Canada Universe Bond Index; 25% S&P/TSX Composite TR Index; 25% S&P 500 TR Index (CAD)

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

2100551E 10/21